

Empirical Model

Let s_{ikt} denote the share of total expenditure allocated to category k by municipality i in year t . The baseline model is:

$$s_{ikt} = \beta_0 + \beta_1 R_i + \beta_2 D_{ikt} + \beta_3 (R_i \times D_{ikt}) + \beta_4 E_{it} + \mathbf{X}_i' \boldsymbol{\gamma} + \mathbf{P}_i' \boldsymbol{\delta} + \mu_t + \varepsilon_{it} \quad (1)$$

where:

- $R_i \in \{0, 1\}$ is an indicator equal to 1 if the incumbent mayor elected in 2016 in municipality i is eligible for reelection in 2020, and 0 otherwise
- $D_{ikt} \in [0, 1]$ is the share of expenditure in municipality i and year t funded by non-earmarked sources (*tesouro* and *recursos próprios*), measuring fiscal discretion
- $R_i \times D_{ikt}$ is the interaction term, capturing whether reelection incentives have a stronger effect on spending composition when the mayor has greater fiscal discretion
- E_{it} is total expenditure per capita in municipality i and year t
- $\mathbf{X}_i$ is a vector of pre-determined socioeconomic controls measured at the 2010 Census, including PIB per capita, municipal HDI, infant mortality rate, sanitation access, mean salary, school attendance rate, and age distribution shares
- $\mathbf{P}_i$ is a vector of political controls, including the number of candidates in the 2016 election and an indicator for whether the 2016 winner was running as an incumbent
- μ_t denotes year fixed effects
- ε_{it} is the idiosyncratic error term

The coefficient of interest is β_1 , which identifies the effect of reelection eligibility on spending composition. The interaction coefficient β_3 tests whether this effect is moderated by fiscal discretion.